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Case Number: 26SMCV02109 Hearing Date: June 30, 2026 Dept: 205

Superior Court of California

County of Los Angeles

Beverly

Hills Courthouse | Department 205

Gary Gezalyan,

Plaintiff,

v.

Jaguar Land Rover North America,
LLC, et al.,

Defendants.

Case No.:

26 SMCV02109

Hearing Date: 06/30/26

Trial Date:

None

[TENTATIVE] RULING RE:

Demurrer and Motion to Strike

Background

Plaintiff

filed this action based on a nonconforming vehicle subject to express warranties. Plaintiff alleges the defects were covered by the warranties. Plaintiff provided Defendants with sufficient opportunity to remedy the defects. Plaintiff alleges Defendants were unable to do so. Plaintiff alleges Defendant Jaguar Land Rover of North America has refused Plaintiff's demand for revocation and refused to provide Plaintiff with the remedies to which he is entitled upon revocation.

On April

16, 2026, Plaintiff filed a complaint against Defendants Jaguar Land Rover North America, LLC and Land Rover Pasadena alleging (1) breach of express warranty under the Song Beverly Consumer Warranty Act; (2) breach of implied warranty under the Song Beverly Consumer Warranty Act; (3) violation of Business and Professions Code §17200; and (4) negligent repair.

Plaintiff's

complaint contains several significant inconsistencies. The plaintiff is identified inconsistently as Gary Gezalyan (Complaint, Caption and Preamble, p. 1) and Arman Shakaryan (Complaint, ¶1). The complaint alleges inconsistently that the subject vehicle was leased (Complaint ¶12) and purchased (Complaint, ¶12.)

Demurrer Standard

A demurrer is a

pleading used to test the legal sufficiency of other pleadings. It raises issues of law, not fact, regarding the form or content of the opposing party's pleading. It is not the function of the demurrer to challenge the truthfulness of the complaint; and for purpose of the ruling on the demurrer, all facts pleaded in the complaint are assumed to be true, however improbable they may be.

A demurrer can be

used only to challenge defects that appear on the face of the pleading under attack; or from matters outside the pleading that are judicially

noticeable. (Blank v. Kirwan (1985) 39 Cal.3d 311.) No other extrinsic evidence can be considered (i.e., no “speaking demurrers”). Specifically, a demurrer may be brought per Code of Civil Procedure section 430.10 subdivision (e) if insufficient facts are stated to support the cause of action asserted. Furthermore, a demurrer for uncertainty will be sustained only where the complaint is so bad that the defendant cannot reasonably respond. (Code Civ. Proc., § 430.10, subd. (f).)

However, in construing the allegations, the court is to give effect to specific factual allegations that may modify or limit inconsistent general or conclusory allegations. (Financial Corporation of America v. Wilburn (1987) 189 Cal.App.3rd 764, 769.) And, if the facts pled in the complaint are inconsistent with facts which are incorporated by reference from exhibits attached to the complaint, the facts in the incorporated exhibits control. Further, irrespective of the name or label given to a cause of action by the plaintiff, a general demurrer must be overruled if the facts as plead in the body of the complaint state some valid claim for relief. Special demurrers are not allowed in limited jurisdiction courts. (Code of Civ. Proc., § 92, subd. (c).)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Id.)

Finally, Code of Civil Procedure section 430.41, requires that “[b]efore filing a demurrer pursuant to this chapter, the demurring party shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer.” (Code Civ. Proc., § 430.41, subd. (a).) The parties are to meet and confer at least five days before the date the responsive pleading is due. (Code Civ. Proc., § 430.41, subd. (a)(2).) Thereafter, the demurring party shall file and serve a declaration detailing their meet and confer efforts. (Code Civ. Proc., § 430.41, subd. (a)(3).)

Motion to Strike Standard

A party may move

to strike matters from an opposing party's pleading if it is irrelevant, false or improper. (See Code Civ. Proc. §§

435, 436, subd. (a).) Motion to strike

may also target all or any part of pleadings not filed or drawn in conformity with the applicable laws, rules or orders.

(Code Civ. Proc., § 436, subd. (b).)

A Motion to Strike is the proper procedure for testing the adequacy of a punitive damages allegation because punitive damages are not a cause of action. (Grieves v. Superior Ct.

(1984) 157 Cal.App.3d 159, 164.)

Prior to filing a

motion to strike, the moving party is required to satisfy their meet and confer obligations pursuant to Code of Civ. Proc., § 435.5, and demonstrate that they so satisfied their meet and confer obligation by submitting a declaration pursuant to Code of Civ. Proc., § 435.5, subd. (a)(2) & (3).

Analysis

Defendants demur to the third cause of action for violation of the unfair competition law and the fourth cause of action for negligence. Defendants erroneously switched the numbering of each cause of action, referring to the negligence claim as the third cause of action and the unfair competition claim as the fourth cause of action.

Defendants moves to strike Plaintiff's (1) prayer for relief in connection with the unfair competition claim seeking an order of accounting; (2) prayer for relief in connection with the unfair competition claim seeking an order requiring Defendants to abstain from unfair business acts; (3) prayer for relief for punitive or exemplary damages; and (4) two times general and special damages per the Song Beverly Act.

Third Cause of

Action for Violation of Business and Professions Code §17200

Defendants argue Plaintiff fails to plead a UCL claim, because

(1) he fails to allege the purported wrongful conduct with particularity; (2)

he fails to allege injury in fact or reliance; and (3) he has no available remedy under the UCL, which limits remedies to injunctive relief and restitution.

In cases

involving a direct competitor, an unfair business practice is narrowly defined.

“When a plaintiff who claims to have suffered injury from a direct competitor’s ‘unfair’ act or practice invokes section 17200, the word ‘unfair’ in that section means conduct that threatens an incipient violation of an antitrust law, or violates the policy or spirit of one of those laws because its effects are comparable to or the same as a violation of the law, or otherwise significantly threatens or harms competition.” *Cel-Tech Communications, Inc. v. Los Angeles Cellular Telephone Co.* (1999) 20 Cal.4th 163, 187.

In consumer cases, it is unclear if the Cel-Tech definition also exclusively applies or if the broad pre-Cel-Tech definition applies: “[S]ection 17200 of the Business and Professions Code defines ‘unfair competition’ to include, as relevant, ‘unlawful, unfair or fraudulent business practice(s)’...It would be impossible to draft in advance detailed plans and specifications of all acts and conduct to be prohibited, since unfair or fraudulent business practices may run the gamut of human ingenuity and chicanery.” (*Motors, Inc. v. Times Mirror Co.* (1980) 102 Cal.App.3d 735, 740.) Thus, whether a business is unfair is a fact intense inquiry that requires the Court to act as a court in equity. “It is really quite impossible” to make such a determination on demurrer. (*Id.*)

“‘Unlawful

business activity’ proscribed under section 17200 includes anything that can properly be called a business practice and that at the same time is forbidden by law.” (*Farmers Ins. Exchange v. Supr. Ct.* (1992) 2 Cal.4th 377, 383.)

An action under B&PC 17200 based on an unlawful business practice “borrows violations of other laws and treats these violations, when committed pursuant to business activity, as unlawful practices independently actionable under section 17200 et seq. and subject to the distinct remedies provided thereunder.” (*Id.*)

“In order to

state a cause of action under the fraud prong of the UCL a plaintiff need not

show that he or others were actually deceived or confused by the conduct or business practice in question. "The 'fraud' prong of [the UCL] is unlike common law fraud or deception. A violation can be shown even if no one was actually deceived, relied upon the fraudulent practice, or sustained any damage. Instead, it is only necessary to show that members of the public are likely to be deceived." (Schnall v. Hertz Corp. (2000) 78 Cal.App.4th 1144, 1167.)

By virtue of a 1992 amendment, the UCL covers single acts of misconduct. (Klein v. Earth Elements, Inc. (1997) 59 Cal.App.4th 965, 969, fn. 3.) A business "practice" can violate the UCL even if it affects only a single "victim." (Allied Grape Growers v. Bronco Wine Co. (1988) 203 Cal.App.3d 432, 452-453 ("There is nothing in the word 'practice' that necessarily limits section 17200 cases to those actions involving multiple victims").)

Under B&PC 17203, only plaintiffs who have suffered injury capable of restitutionary disgorgement or have basis for injunctive relief may sue under Business and Professions Code section 17200. A plaintiff cannot obtain damages of any other kind. (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1132, 1148.)

Plaintiff alleges conduct that is unlawful, unfair and fraudulent. Plaintiff is alleging a UCL violation based on a consumer contract, not as a competitor. Plaintiff alleges violations of the Song Beverly Act in the first and second causes of action, the sufficiency of which Defendants do not challenge. Plaintiff also alleges Defendant Jaguar Land Rover North America intentionally and knowingly placed a defective vehicle into the stream of commerce without warning or remedying the defect, Defendants intentionally failed to diagnose the vehicle issues and Defendant Land Rover Pasadena knew that Defendant Jaguar Land Rover North America would not reimburse them for multiple repair attempts on the same issue. (Complaint, ¶¶51-54.)

Plaintiff seeks "damages" for "injury in fact" based on loss of car value, money spent traveling to and from the dealership and hiring counsel to pursue warranty remedies. (Complaint, ¶56.) Such damages are consequential, special

damages, which are not recoverable under 17200.

Plaintiff also includes other impermissible requests for relief in connection with the third cause of action, including an accounting. Although Plaintiff alleges restitution in the amount equal to the price paid to Defendants in his prayer for relief in connection with the third cause of action, Plaintiff is only entitled to restitution or injunction. The inclusion of the improper remedies is grounds for a motion to strike, however, not demurrer.

Defendants' demurrer to the third cause of action for violation of Business and Professions Code section 17200 is overruled.

Fourth Cause
of Action for Negligence

Defendants demur to the fourth cause of action for negligence on grounds that (1) Plaintiff fails to allege what the dealership allegedly did or failed to do; (2) the economic loss rule bars Plaintiff's negligence claim; and (3) Plaintiff fails to allege facts demonstrating that Defendants caused Plaintiff's damages.

The only named defendant in the fourth cause of action is defendant "Repair Facilities," which Plaintiff defines as Land Rover Pasadena. (Complaint, ¶5.) Plaintiff alleges Defendant Land Rover Pasadena failed to "use ordinary care and skill by failing to properly store, diagnose and repair the Subject Vehicle in accordance with industry standards." (Id. at ¶61.)

Defendant Jaguar Land Rover North America, LLC is not named in the fourth cause of action. Plaintiff's failure to allege any negligence against it is therefore not grounds for demurrer.

Defendants also fail to establish that Plaintiff's negligence claim fails due to the economic loss rule. "The economic loss rule is not a defense to a cause of action. Rather, the existence of damages other than purely economic loss is an element of a plaintiff's common law cause of action." (Greystone Homes, Inc. v.

Midtec, Inc. (2008) 168 Cal.App.4th 1194, 1215.)

The

economic loss rule only applies to preclude tort recovery where the harm is purely financial, unaccompanied by any physical or property damage. “The economic loss rule provides that, in general, there is no recovery in tort for negligently inflicted ‘purely economic losses,’ meaning financial harm unaccompanied by physical or property damage.” (Dhital v. Nissan North

America, Inc. (2022) 84 Cal.App.5th 828, 837 (economic loss rule bars recovery for negligently inflicted economic losses “unaccompanied by...property damage”); Erlich v. Menezes (1999) 21 Cal.4th 543, 551 (recognizing long line of cases in which tort damages were allowed for a breach of contract where the conduct resulted in injury to person or property); Robinson Helicopter Co., Inc. (2004) 34 Cal.4th 979, 989-990 (economic loss rule does not bar tort damages where conduct is also a breach of contract where intentional tort is involved, where conduct violates duty independent of contractual duties, or in contract cases where breach of duty directly causes physical injury).)

Defendants

fail to identify any allegation establishing that Plaintiff only suffered purely economic loss. Plaintiff alleges that he suffered “damages,” which may or may not include damages other than purely economic loss.

In

addition, “[a] contract to perform services gives rise to a duty of care which requires that such services be performed in a competent and reasonable manner.

A negligent failure to do so may be both a breach of contract and a tort.” (North American Chemical Co. v. Superior Court (1997) 59 Cal.App.4th 764774; see also Michaelis v. Benavides (1998) 61 Cal.App.4th 681, 688; 3 Witkin, Cal. Proc. (6th ed. 2023) Actions §155 (“If a contract creates an interest protected by the law of torts, breach of the contract may constitute a tort, and the plaintiff’s election to sue in tort is generally recognized.”))

The

Supreme Court in Erlich discussed North American by noting that “conduct amounting to a breach of contract becomes tortious only when it also violates a duty independent of the contract arising from principles of tort law. An omission to perform a contract obligation is never a tort, unless that omission is also an omission of a legal

duty. (Erich, *supra*, 21 Cal.4th at 551.) The mere negligent breach of a contract is insufficient to state a claim for damages sounding in tort. (*Id.*) The remedy for a breach of contract is generally limited to contract law, and recovery in tort is not permitted unless: (1) the breach is accompanied by a traditional common law tort, such as fraud or conversion; (2) the means used to breach the contract are tortious, involving deceit or undue coercion or; (3) one party intentionally breaches the contract intending or knowing that such a breach will cause severe, unmitigable harm in the form of mental anguish, personal hardship, or substantial consequential damages." (*Id.* at pp. 553–554.)

Most

recently, the Supreme Court in *Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905 acknowledged that consumer contracts for professional services can give rise to tort actions "even though they arise from, and are not independent of, a contract." (*Sheen, supra*, 12 Cal.5th 905, 929). "It is true that we have, in certain contexts, allowed tort actions to proceed even though they arise from, and are not independent of, a contract, despite the economic loss rule. Specifically, we have allowed for tort recovery in some cases involving insurance policies and contracts for professional services." (*Id.* at 929.)

Plaintiff

has alleged a consumer contract for professional repair services. Under *Sheen* and *North America*, Plaintiff is allowed to proceed on a negligence claim, despite the general rule that a plaintiff cannot recover in tort for a purely economic loss resulting from a breach of contract.

Defendants'

demurrer to the fourth cause of action is overruled.

Motion

to Strike

Defendants'

motion to strike the prayer for relief requesting punitive damages in connection with the fourth cause of action for negligence is granted. Plaintiff does not allege any conduct that would rise to the level of malice, fraud or oppression.

Defendants' motion to strike the

request for “an order requiring Defendant to account for all monies that they have received as a result of the acts and practices found to constitute unfair competition pursuant to Cal. Bus. & Prof. Code 17200 et seq.” is granted. Relief under 17200 is limited to restitution and injunctive relief, not an accounting or nonrestitutionary disgorgement. (Korea Supply Co. v. Lockheed Martin Corp. (2003) 29 Cal.4th 1132, 1148.)

Defendants’ motion to strike the request for “an order requiring Defendants to abstain

from any further acts and practices found to constitute unfair competition pursuant to Cal. Bus. &

Prof. Code 17200 et seq.” is granted. Again, restitution or injunctive relief is the only relief allowed under 17200. Requesting an order requiring Defendants’ abstention from any further acts of unfair competition would have the same effect as an injunction but it is not a clear and unambiguous request for injunctive relief.

Defendants’ motion to strike the requests for Song Beverly civil penalties is granted.

Defendants argue Plaintiff was required to plead compliance with Civil Code section 871.24 in order to seek civil penalties. Defendants fails to cite any authority, including language from the statute itself, requiring Plaintiff to allege compliance with Civil Code section 871.24 in order to allege a claim for civil penalties. However, the statute imposes pre-litigation notice requirements on the consumer and Plaintiff does not argue that he is not required to plead compliance with section 871.24 in order to allege a claim for civil penalties under Song Beverly. Plaintiff also argues he complied with the statute. Given these facts, Defendants motion to strike the request for civil penalties is granted with leave to amend.

Plaintiff is also ordered to amend the complaint to resolve the inconsistencies regarding the Plaintiff’s identity, as well as the nature of the transaction (sale versus lease).

Conclusion

Defendants' Demurrer to the Third and Fourth Causes of action for violation of Business and Professions Code section 17200 and negligent repair is overruled.

Defendants' Motion to Strike is (1) granted without leave as to the requests for punitive damages, "an order requiring Defendant to account for all monies that they have received as a result of the acts and practices found to constitute unfair competition pursuant to Cal. Bus. & Prof. Code 17200 et seq.," and "an order requiring Defendants to abstain from any further acts and practices found to constitute unfair competition pursuant to Cal. Bus. & Prof. Code 17200 et seq. and (2) granted with 20 days leave as to the request for Song Beverly civil penalties.

Plaintiff is also ordered to amend the complaint to resolve ambiguities regarding the identify of the plaintiff and the nature of the underlying transaction, i.e. sale versus lease.

Dated: June 30, 2026

Edward B. Moreton, Jr.

Judge of the Superior Court